

SET-I

Q1. a) Explain the dual aspect concept and the matching concept in accounting.

Ans:

Accounting is defined as the art of recording, classifying, and summarising financial transactions and events in monetary terms. Two fundamental ground rules that guide this process are the Dual Aspect Concept and the Matching Concept.

Dual Aspect Concept:

This principle, also known as Double Entry Accounting, is the foundation of the recording process.

- Debit and Credit: Every transaction or event has two aspects; every debit must have an equal and opposite credit.
- Equality: It states that every financial transaction has equal and opposite effects in at least two different accounts.
- The Accounting Equation: This concept ensures the Fundamental Accounting Equation ($\text{Assets} = \text{Liabilities} + \text{Equity}$) remains balanced after every business transaction.
- Historical Basis: These simple principles were first documented by the mathematician Luca Fra Pacioli in 1494 and remain the standard in the computer age.

Matching Concept:

The Matching Concept is a vital component of accrual accounting used to measure a business's financial success.

- Profitability: Revenue earned in an accounting year is matched (offset) against all expenses incurred during that same period to generate that revenue.
- Accrual Basis: It suggests that incomes and expenses are recognised when they are earned or incurred, regardless of when the cash is actually exchanged.
- Accuracy: This is essential for finding true overall profitability, particularly in seasonal businesses where the timing of expenses and revenue generation may not naturally align.

b) Explain the importance of financial statements.

Ans.

Financial statements are the essential end products of the accounting process, serving as the primary language of business to communicate an entity's financial health to the outside world. Their fundamental importance lies in translating complex organizational efforts into objective accounting numbers that reveal a business's true performance.

Key Roles of Financial Statements:

- **Facilitating Economic Decisions:** They provide a quantitative information system for external users, such as investors and government authorities, allowing them to make informed judgments and economic decisions.
- **Performance Evaluation:** By consolidating the combined effects of land, labour, capital, and management, these statements allow stakeholders to judge the "bottom line"—the entity's overall profitability.
- **Reporting Financial Position:** The Profit and Loss Account and the Balance Sheet (collectively called Final Accounts) provide a snapshot of the business's results and its position regarding assets, liabilities, and equity at a specific point in time.
- **Projections and Planning:** Projections of these statements are vital for management to determine future fund requirements and maintain control over organizational performance. Ultimately, financial statements ensure transparency, proving indispensable for running any economic activity, from a large corporation to a small family unit.

Q2. Record journal entries for the following transactions of Priya Traders:

- Commenced business with ₹1,20,000.
- Bought furniture for ₹10,000 in cash.
- Sold goods for ₹30,000 on credit to Anil.
- Paid salary ₹5,000.
- Received commission ₹2,000 by cheque

Ans.

To record the transactions for Priya Traders, we follow the Double Entry Accounting system, which states that every financial transaction has equal and opposite effects in at least two different accounts. Every debit must have an equal and opposite credit.

Journal Entries for Priya Traders:

i) Commencement of Business:

- Cash A/c Dr. ₹1,20,000
- To Capital A/c ₹1,20,000
- (Being capital introduced by the proprietor into the business)

ii) Purchase of Furniture:

- Furniture A/c Dr. ₹10,000
- To Cash A/c ₹10,000
- (Being furniture purchased for cash)

iii) Credit Sale of Goods:

- Anil's A/c (Debtor) Dr. ₹30,000

- To Sales A/c ₹30,000
- (Being goods sold on credit to Anil)
- iv) Payment of Salary:
 - Salary A/c Dr. ₹5,000
 - To Cash A/c ₹5,000
 - (Being salary paid for the period)
- v) Receipt of Commission:
 - Bank A/c Dr. ₹2,000
 - To Commission A/c ₹2,000
 - (Being commission received via cheque)

Q3. a) Explain the steps in financial planning.

Ans.

Financial planning is the process of deciding in advance a company's future course of action to ensure that financial resources are raised and utilised judiciously. It acts as a roadmap for estimating fund requirements and laying down policies for their effective usage.

The financial planning process involves five essential steps:

- **Projection of Financial Statements:** Managers project the profit and loss account and the balance sheet for a future period to help determine the total amount of funding required.
- **Determination of Funds Needed:** Using projections for sales, production, and marketing activities, the manager determines whether funds must be procured on a short-term or long-term basis.
- **Forecasting Fund Availability:** By accurately predicting the company's internal flow of funds, a manager can reduce external borrowing and save on interest payments.
- **Establishing Control Systems:** Systems are maintained to ensure that funds are utilised effectively and that the actual performance aligns with the original plan.
- **Developing Procedures:** Formalised procedures are created to guide the implementation and final execution of the financial plans.

Ultimately, these steps allow a firm to estimate its capital requirements—both for fixed and working capital—and decide on the best proportion of debt and equity to acquire.

b) Explain factors affecting the Capital structure.

Ans.

Capital structure refers to the specific mix of debt (fixed interest-bearing funds) and equity (variable dividend securities) used by a firm to finance its operations. Following the steps of financial planning we discussed, choosing an optimum capital structure is vital to maximize shareholder value while minimizing risk.

The following key factors influence this decision:

- Risk and Return Trade-off: Using debt can increase returns for equity holders, but it also significantly increases the firm's financial risk.
- Nature and Status of the Industry: Capital-intensive industries require more substantial funding than labour-intensive ones. Furthermore, well-established companies can raise finance more easily than new entrants.
- Cost of Finance: Managers seek the cheapest source of funds while assessing any contractual restrictions or securities required by lenders.
- Management Control: If current management wishes to maintain control, they may prefer debt over equity, as issuing new shares dilutes voting power.
- Flexibility: A sound plan must be flexible enough to adjust to changing economic conditions or to substitute one form of financing for another when needed.
- Government Policy: Firms must strictly adhere to statutory provisions and regulatory guidelines, such as SEBI requirements.

Ultimately, these factors dictate how a firm estimates its fixed and working capital requirements.

SET-II

Q4. From the following information, calculate:

- (a) Contribution per unit and Profit/Volume (P/V) Ratio
- (b) Break-even point (in units)

Selling Price per unit: ₹50

Variable Cost per unit: ₹35

Fixed Cost: ₹45,000

Ans.

Based on the financial information provided, the calculations are as follows:

- Contribution per unit: ₹15

- Profit/Volume (P/V) Ratio: 30%
- Break-even point (in units): 3,000 units

(a) Contribution per Unit and P/V Ratio

Contribution is defined as the excess of the selling price over variable costs. It is called "contribution" because it contributes towards the recovery of fixed costs and, eventually, the generation of profit.

- Formula: Contribution = Selling Price – Variable Cost.
- Calculation: ₹50–₹35= ₹15 per unit.

The Profit/Volume (P/V) Ratio expresses the relationship between the contribution and the sales, usually shown as a percentage. A high P/V ratio is typically an indicator of sound financial health for a company's product.

- Formula: P/V Ratio=(Contribution/Sales)×100.
- Calculation: $(15/50) \times 100 = 30\%$.

(b) Break-even Point (in units)

The Break-even point (BEP) is the level of sales or output where there is no profit or no loss. At this specific stage, the total contribution is exactly sufficient to absorb the total fixed costs.

- Formula: B.E.P.(units)=Fixed Cost / Contribution per unit.
- Calculation: ₹45,000/₹15= 3,000 units.

This means Priya Traders must sell 3,000 units to cover all costs. Any units sold beyond this point will result in a profit.

Q5.

- Explain the meaning and objectives of budgetary control.
- Discuss its advantages and limitations.

Ans.

a) Budgetary control is a system of management control that involves the establishment of budgets, the continuous comparison of actual results against these budgets, and the assignment of responsibility to executives to ensure organisational policies are achieved. It serves as a tool for managers to secure objectives through individual action or to provide a basis for policy revision.

Objectives of Budgetary Control

According to the sources, the three primary objectives of this system are:

Planning: It forces management at all levels to prepare a definite policy plan for a future period to attain specific goals.

Co-ordination: It aligns various departmental activities and secures the cooperation of all members toward a common organisational objective.

Control: It ensures performance conforms to plans by identifying variations (variances), allowing management to take timely corrective action.

b)

Advantages of Budgetary Control

Implementing this system provides several benefits:

Efficiency: It facilitates Management by Exception, allowing managers to focus only on areas where performance deviates from the plan.

Resource Allocation: It ensures that scarce resources are used optimally, thereby controlling expenditure.

Accountability: It identifies areas of efficiency and inefficiency, making specific individuals responsible for cost and revenue items.

Motivation: Effective systems allow employees to participate in setting budgets, which can align individual goals with corporate ones.

Limitations of Budgetary Control

Despite its benefits, the system faces certain challenges:

Psychological Pressure: Budgets are often perceived as pressure devices, which can lead to poor labour relations or apathetic workforces.

Budgetary Slack: Managers may intentionally overestimate costs to ensure they aren't held responsible for overspending in the future.

Conflict: Competition for limited resource allocations can lead to departmental friction and blame games if targets are missed.

Uncertainty: The system is based on assumptions regarding demand, inflation, and technology that may change rapidly, making the budget rigid or outdated.

Historical Bias: Budgets can perpetuate inefficiencies by simply increasing the previous year's figures without assessing the actual need or efficiency.

Q6. The summarized final accounts of two companies are as follows:

Balance Sheet

Liabilities	X Ltd Rs.	Y Ltd Rs.	Assets	X Ltd Rs.	Y Ltd Rs.
Share Capital	88,000	88,000	Fixed Assets	1,21,000	96,800
Reserves	42,900	35,200	Current Assets	1,25,400	1,03,400
8% debentures	22,000	22,000	Less: Current Liabilities	93,500	55,000
	1,52,900	1,45,200		1,52,900	1,45,200

Revenue Statement for the year

Ans:

Ratio Analysis for X Ltd and Y Ltd

Using the provided financial data, we can calculate the following key performance indicators for both companies:

Ratio	Formula	X Ltd Calculation	Y Ltd Calculation
Current Ratio	Current Assets / Current Liabilities	$1,25,400 / 93,500 = 1.34:1$	$1,03,400 / 55,000 = 1.88:1$
Capital Gearing Ratio	Equity / Fixed Interest Funds	$88,000 / 22,000 = 4:1$	$88,000 / 22,000 = 4:1$
Gross Profit Ratio	$(\text{Gross Profit} / \text{Sales}) \times 100$	$(92,400 / 3,30,000) \times 100 = 28\%$	$(66,000 / 2,64,000) \times 100 = 25\%$
Net Profit Ratio	$(\text{Net Profit} / \text{Sales}) \times 100$	$(16,500 / 3,30,000) \times 100 = 5\%$	$(12,760 / 2,64,000) \times 100 = 4.83\%$

Note: For the Net Profit Ratio, the Profit after Tax was utilized to reflect actual bottom-line profitability.

Analogy for Understanding: Think of Ratio Analysis like a doctor's medical report for a business. The Current Ratio acts like a blood pressure reading—it tells you if the company has enough "vitality" (liquidity) to meet its immediate pressures. The Gross Profit Ratio is similar to a metabolic rate, showing how efficiently the body converts "food" (sales) into "energy" (profit) before general "living expenses" (operating costs) are taken out.

